



"The hike in food prices would hit us down the line. Concerns about inflation and price stability cannot be far away from any central bank."

D. SUBBARAO, Governor, RBI

Costs and Prices. "There are major deficiencies in the targeted PDS, including non-availability of fair price shops, leakages and bogus ration cards, which lead to diversion of foodgrain in the black market," says Dev. The food subsidy bill to meet the difference between the economic cost of foodgrains and their sales realisation through PDS, stood at Rs 43,668 crore in 2008-09. If the food does not reach the poor, this is a waste. The state of PDS is confirmed by K. Suresh Kumar, a ration dealer, in Thiruvananthapuram. He says, "Last week, during the Onam festival, the Government ordered dealers to issue 15 kg of rice at Rs 5.50 and 1 kg of sugar at Rs 8 to each Below Poverty Line (BPL) family which is at half of the open market prices. We had to purchase these commodities at market price and the Government is meant to compensate us for the difference in prices. This happens every year but the subsidy is never paid even after we keep greasing the palms of officials. The much-lauded PDS in Kerala is on the verge of a breakdown." Wholesale traders like Pradeep Jain in Ahmedabad have a different take on the problem: "Unless you ban big multi-nationals from trading in essential commodities and stop their forward trading, prices will go up on speculation alone."

The Government has been slow to react with Agriculture Minister Sharad Pawar getting much of the flak. It had banned futures trading in commodities like rice, wheat and lentils to stop unbridled speculation, points out Jayati Ghosh, professor, Jawaharlal Nehru University. Exports of essential food items like rice and wheat were banned, and bulk imports of items like sugar and pulses had been ordered. But clearly, these have not been enough, says Ghosh who wants a tighter regulation of financial players in the commodity business. Food prices have continued to rise, according to Commerce Ministry data. On a year-on-year basis, the cost of vegetables has risen by nearly 40 per cent, cereals by 11.6

per cent, pulses by 17.6 per cent and spices by 4.7 per cent. In Bihar, four of the top five districts in terms of rice production and productivity are among the worst drought-hit. This resulted in a 58 per cent decline in paddy transplantation. Pulses, another major crop in the state, could be planted on just 1,41,156 acres of land against a target of 3,08,881 acres and oilseeds in 14,287 acres against 48,421 acres. The shortfall in other drought-hit states created a cascading effect that spiralled out of control.

That created a mismatch between demand and supply, especially in regard to sugar and pulses. This year, India is not able to meet 25 per cent of its sugar demand and is heavily dependent on imports to meet the shortfall in a thinly traded global market. "Sugar prices, which have doubled to Rs 34 a kg since last September, touching record highs, are set to rise further owing to a global shortage," says Dev. With production hitting a three-year low of 14.7 million tonnes this season against the consumption of 22 million, the deficit has led to a sharp surge in prices of sugar. Further, as ASSOCHAM Secretary-General D.S. Rawat points out, global prices of sugar are largely decided on supply situations in key exporting nations like Canada, Myanmar, Australia and the US. "The moment India enters the global market, its willingness to pay any price leads to sharp rise in prices," he says. Sugar was available for \$250 a tonne and rose to \$550 a tonne once India started imports.

There's not much the Government can do about that but right now, controlling prices is priority number one. The grain reserves will be used to try and check prices, sugar will be sold at subsidised rates and minimum support prices for sugarcane growers will be raised by 50 per cent in Maharashtra and Uttar Pradesh for the new sugar season start-

B. SAIRAMKRISHNA Hyderabad

A PRABHAKAR RAO



Profession: Lawyer

Approximate monthly income:

Rs 50,000

No. of family members: 6

The family spends about Rs 11,000 to Rs 12,000 every month on food. As frugal vegetarians, much of the expenditure is on rice, pulses, milk and vegetables. The monthly bill on rice is up from Rs 2,000 to Rs 3,800 and the milk bill from Rs 920 to Rs 1,350. As for pulses, Tur dal that cost Rs 43 a kg last year, is now available at Rs 95 a kg. If that wasn't enough, the cost of children's education has risen by 30 per cent in a year. Also, the family avoids going to restaurants.

"These days, I use a scooter instead of my car. We don't go out often to the restaurants and focus on saving as much as we can."

PRADIP KUNDU Kolkata

Profession: Systems Analyst

Approximate monthly income:

Rs 55,000

No. of family members: 3

Durga Puja is round the corner, but the Kundus refuse to buy new clothes thanks to the rise in prices. A year back, the family would relish eating mutton and chicken at least twice a week. That has, however, come down to once in a fortnight.

SUVASHIS MULLICK



"I work for a private firm. Information technology is perhaps the weakest industry in Bengal now. I am scared of spending more than I can barely afford."